

scheme has helped cover health-care costs amounting to more than ₹1 lakh crore.

Beneficiaries of the scheme will receive a separate card, and those already enrolled will receive an additional top-up cover of ₹5 lakh per year for their exclusive use, without sharing this benefit with family members under 70. For those not previously covered, the insurance will offer up to ₹5 lakh per year on a family basis. Besides, those who are already benefitting from other public health insurance schemes like the Central Government Health Scheme, Ex-Servicemen Contributory Health Scheme, or Ayushman Central Armed Police Force can opt to either continue with their current

FY25, from a Revised Estimate of ₹6,800 crore in FY24, according to a study by the think tank PRS India.

The rationale for the move appears to be the increase in the population of India's elderly, projected to reach 194 million by 2031. Thus, the demand for geriatric care is expected to grow.

Amit Chhabra, Chief Business Officer (CBO) of General Insurance at Policybazaar.com, notes that the move addresses a crucial gap in India's healthcare system. "Healthcare costs can be a significant burden, particularly for older adults in India who may already face age-related health issues," he says.

However, the extension has raised concerns among healthcare

elderly citizens to the scheme brings logistical challenges for hospitals, especially those with limited resources. Without timely payments and fair reimbursement rates, many providers may struggle to maintain the quality of care," he adds.

Girdhar Gyani, Director General of the Association of Healthcare Providers (AHP-India), emphasises the risks associated with delays in reimbursement: "Expanding the scheme without ensuring fair and prompt reimbursement risks straining hospitals, particularly smaller ones, which may lack the financial capacity to continue providing services."

The insurance sector, too, has called on the government to ensure

THE NEW SCHEME

1 Around 60 million elderly citizens are expected to benefit from the extension of the AB PM-JAY scheme

2 This will help meet a vital need for geriatric care, as the number of elderly in India is estimated to touch 194 million by 2031

3 The government has increased the outlay for the AB PM-JAY for FY25 by 7.4% to ₹7,300 crore

4 Healthcare professionals say that reimbursement rates have to be revised to meet the additional demand

scheme or opt for the AB PM-JAY.

The extension to senior citizens was first announced by Prime Minister Narendra Modi in April, following previous expansions, including a revision in January 2022, which increased the scheme's coverage to 120 million families from 107.4 million, and extended it to include 3 million ASHA workers, Anganwadi workers, and Anganwadi helpers, along with their families.

In what is, perhaps, a reflection of the higher coverage of the scheme, the government has increased the outlay for the AB PM-JAY by 7.4% to a Budget Estimate of ₹7,300 crore in

professionals regarding its implementation. Experts warn that the expanded beneficiary base may place considerable pressure on smaller hospitals and clinics, potentially disrupting the healthcare system, unless reimbursement rates and payment schedules are adjusted to help meet the increased costs.

Harsh Mahajan, Chair of the FICCI Health Services Committee and Founder & Chief Radiologist at Mahajan Imaging in Delhi, says while this provides important financial relief to families, its viability will depend on how effective reimbursement is. "Adding 60 million

that the concerns aired by healthcare providers are addressed. Aditya Sharma, CEO of Affordplan, a fintech platform offering financial services for healthcare, including medical loans and insurance, describes the new programme as "a significant development for the insurance industry and healthcare funding", but emphasises the need for "sustainable financial models" to support the initiative.

The government and healthcare providers must now work out the finer details of the scheme. **BT**

@neetu_csharma